WAVERLEY GATEWAY GUIDE

Connecting International Capital

CYPRUS

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Nicosia	Capital and seat of government, the Central Bank of Cyprus, Invest Cyprus and most professional-services firms	Financial and professional services, ICT, public-sector projects
Limassol	The island's commercial and shipping hub, home to the main container port and a large international business and technology community	Shipping and ship management, fund management, fintech, real estate
Larnaca	Location of the main international airport and a port and coastal zone attracting new investment	Aviation, logistics, tourism, real estate
Vasiliko energy hub	Site of the island's main power station and the LNG import terminal, for which a tender for the remaining works (reported at €180 million) is under way	Energy infrastructure, LNG, engineering and construction
Offshore Exclusive Economic Zone	Home to the Cronos gas field (Eni and TotalEnergies), targeting first gas by end-2027 or the first half of 2028, and the Chevron-led Aphrodite field	Upstream gas, offshore services, supply chain
Paphos and the coastal resorts	Second international airport and the heart of the island's tourism, hospitality and residential market	Tourism, hospitality, real estate, healthcare

INVESTOR ENTRY ROUTES

- Invest Cyprus, the national investment promotion agency, and the government's Business Support Centre, a single point of contact that helped more than 420 companies set up operations in 2024
- Tax reform in force since 1 January 2026: a 15% corporate income tax, abolition of deemed dividend distribution for new profits and a lower 5% defence contribution on qualifying foreign dividends
- Euro-area membership: the euro is the national currency, with free capital movement under EU rules and no currency risk against the euro
- EU single-market access for goods, services and capital; Cyprus expects to join the Schengen area in 2027
- Simplified procedures for strategic investments and the Cyprus Business Development Organisation's financial instruments for innovative start-ups
- A well-established framework for international companies, shipping and fund management, supervised by the Central Bank of Cyprus and the Cyprus Securities and Exchange Commission

- Energy-sector entry through the Cronos and Aphrodite gas developments, the Vasiliko LNG terminal tender and electricity interconnection projects

MARKET-ENTRY OBSERVATION

Cyprus in November 2026 is one of the euro area's best-performing economies, combining strong growth, the EU's largest budget surplus and rapidly falling debt. GDP grew 3.8% in 2025 and 3.3% year-on-year in the second quarter of 2026, led by trade, information and communication, financial services and construction. The government recorded a surplus of 3.6% of GDP in 2025, and public debt fell to 48.5% of GDP by mid-2026, the largest quarterly decline in the EU. S&P raised Cyprus to an A rating with a positive outlook in September 2026, its first A grade since the financial crisis. Gross FDI inflows reached €8.5 billion in 2024, placing Cyprus among the world's top ten for FDI per capita, and the government reports a further rise of about 10% in 2025, with €2.6 billion of 2024 inflows directed to ICT. A major tax reform effective January 2026 has modernised the system while keeping it competitive.

Cyprus's main structural challenge is energy: it is the only EU member state without an electricity connection to another country, and consumer price inflation rose to 4.37% in October 2026, driven by transport and housing and utility costs. The response is a multi-track programme that creates sizeable opportunities. The Cronos gas field, developed by Eni and TotalEnergies via Egypt's Zohr infrastructure, targets first gas by end-2027 or the first half of 2028, and Chevron's Aphrodite project is in front-end engineering with a decision expected in 2027. A tender is under way to complete the Vasiliko LNG import terminal, and the €1.9 billion Great Sea Interconnector to Greece, supported by €658 million of EU funding, remains a strategic priority pending a cost review due by the end of 2026. Together with strong public finances, these projects open opportunities in energy infrastructure, renewables and storage.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy isolation and costs	Cyprus has no electricity interconnection and relies on imported oil products, keeping power costs and inflation (4.37% in October 2026) elevated	Gas, LNG and interconnection projects are advancing; on-site renewables, storage and energy-efficiency investment offer both savings and opportunity
Sanctions compliance and reputation	Some Cyprus-registered companies have been designated under US and UK Russia-related sanctions, and EU sanctions are now criminally enforceable	A National Sanctions Implementation Unit under the Ministry of Finance has operated since 2025; screen counterparties and take sanctions and AML advice before transactions
Division of the island	The government does not exercise effective control over the northern part of the island, where EU law is suspended pending a settlement	Contract and invest in government-controlled areas under EU law, and take legal advice on property titles with any link to the north
Delays in energy infrastructure	The Vasiliko LNG terminal stalled after its contractor was dismissed in 2024, and the Great Sea Interconnector awaits an updated cost study	A new tender and EU support are in place; suppliers and contractors can position early for the next phase of works
Higher corporate tax under the 2026 reform	The corporate tax rate rose from 12.5% to 15% in 2026, in line with the global minimum tax	The rate remains competitive within the EU, and lower dividend taxation and abolished deemed distributions offset part of the change
Regional security	Cyprus sits close to conflicts in the Eastern Mediterranean and Middle East, which can affect tourism and investor sentiment	EU membership, strong fiscal buffers and Cyprus's role as a regional safe haven support resilience; include routine contingency planning
Small domestic market and skills	A population of under one million limits domestic demand and specialist labour supply	Use Cyprus as an EU base for regional markets and draw on talent-attraction schemes such as Minds in Cyprus

INVESTOR RISK NOTE

Cyprus's risk profile is that of a stable, fast-growing euro-area member with exceptional public finances: a 3.6% of GDP surplus in 2025, debt falling to 48.5% of GDP by mid-2026 and an A rating from S&P. The May 2026 parliamentary election returned the Democratic Rally as the largest party, with gains for ELAM and two new parties, but within a presidential system that keeps the executive stable. The main issues are energy costs and inflation, and the timing of gas and interconnection projects. Investors should note two legal realities: the government does not exercise effective control over the north of the island, where EU law is suspended, and some Cyprus-registered companies are subject to US, UK or EU Russia-related sanctions. Cyprus has tightened enforcement, including a dedicated sanctions unit and criminal penalties for breaches, so thorough counterparty screening is essential and positions the island well as a compliant international business centre.

MARKET ACCESS

As an EU and euro-area member, Cyprus gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the common trade policy governing trade with third countries. Cyprus is not yet in the Schengen area, which it now expects to join in 2027. Its location at the meeting point of Europe, the Middle East and North Africa, its ports at Limassol and Larnaca and its two international airports make it a regional base for shipping, services and headquarters. In energy, gas from the Cronos and Aphrodite fields is planned to flow through Egypt to regional and European markets, and the Great Sea Interconnector would link Cyprus to the European grid via Greece.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic (President Nikos Christodoulides)	Heads the executive in Cyprus's presidential system and leads the strategy to position Cyprus as a regional business hub	Primary reference point for national priorities and strategic projects
Invest Cyprus and the Business Support Centre	National investment promotion agency and single point of contact for companies setting up on the island	Standard first point of contact for market entry and relocation
Central Bank of Cyprus	Member of the Eurosystem; its governor sits on the ECB Governing Council, whose deposit rate stood at 2.50% in November 2026	Relevant for banking, payments and financial-sector licensing
Ministry of Finance and the National Sanctions Implementation Unit	Leads fiscal and tax policy and houses the unit that enforces sanctions and issues licences	Key counterpart on tax, public finance and sanctions compliance
Ministry of Energy, Commerce and Industry	Oversees hydrocarbons licensing, the Cronos and Aphrodite developments and energy-security projects	Essential for energy, industry and trade engagement
Cyprus Securities and Exchange Commission (CySEC)	Regulates investment firms, funds and crypto-asset service providers	Relevant for fund management, fintech and capital-markets entry
Etyfa (Natural Gas Infrastructure Company)	Owner and manager of the Vasiliko LNG terminal; it is running the tender for completion of the works	Counterpart for LNG and gas infrastructure suppliers

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Cyprus Chamber of Commerce and Industry, the Employers and Industrialists Federation, the American Chamber of Commerce in Cyprus and bilateral chambers such as the Cyprus-British Chamber of Commerce are the main business networks. Invest Cyprus organises investor events and promotes the country at international forums, and the government's partnerships with NVIDIA, Columbia University and Plug and Play support the technology ecosystem. The European Investment Bank and the European Bank for Reconstruction and Development have co-financed energy infrastructure, and EU funds support energy, digital and innovation

projects. The commercial sections of EU partners' embassies and the UK High Commission are useful sources of introductions.

INVESTOR PROFILE BEST SUITED

Cyprus suits investors seeking an internationally oriented base inside the EU and the euro area: shipping and ship-management groups in Limassol; fund managers, fintech and professional-services firms; technology companies relocating teams or regional headquarters; energy and infrastructure investors targeting gas, LNG, renewables, storage and interconnection projects; and tourism and real-estate investors. All investors should apply rigorous sanctions and anti-money-laundering screening to counterparties.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Cyprus and the Business Support Centre
Use the single point of contact to plan company formation, licensing, work permits and relocation of staff.

STEP 2: Structure under the 2026 tax rules
Take advice on the 15% corporate rate, the new dividend rules and the interaction with the global minimum tax before finalising the holding structure.

STEP 3: Position for energy projects
Track the Cronos and Aphrodite developments, the Vasiliko LNG tender and the Great Sea Interconnector review to identify supply and investment openings.

STEP 4: Build in compliance from day one
Screen counterparties against EU, UK and US sanctions lists and confirm that any property or asset has no link to areas outside government control.

STEP 5: Plan for costs and Schengen timing
Factor in energy prices and inflation, and allow for travel and staffing arrangements until Schengen accession, now expected in 2027.